The General Theory Ch.8

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Having finished Book 1, the introduction, and Book 2, the methodology section, it's time to turn Book 3, on consumption. It's only taken a fortnight, pretty good! Now that we know where the book as a whole is going and the terms and definitions to describe it, we can start digging into what makes the economy tick. Or, at least, the model of the economy we've been using.

The chapter we're talking about today (chapter 8 and the chapter we're talking about next month) (chapter 9) are a natural pair. There's some stuff from today's chapter that we'll need to know to understand what's going on in the chapter we're talking about next. I'm also going to do a little bit of a theory/history split. Today we're going to Marty Thomas's stuff, without much historical or literary contextualization, just a bunch of aggregate accounting stuff in different ways. Next month, we're going to pull both chapters into context, both in terms of historical policy application and the history of economic thought to see what happened when people actually tried to use stuff like this, and they stopped.

Both chapters are about how people decide how much to consume. They're fun, because they's general method of argumentation reminds me a lot of a conversation I had with my dad, back in the Obama administration, when I was a teenager. My dad's argument, if I remember doing this forever, hath and then he's just an asshole who didn't get, I don't remember what the problem was, or what it was even about, but he didn't get it, and he was "alright, imagine you're you. Now, what would you do in this situation if you were you?" Somehow, this actually worked, and the other person got the answer and was finished. That's what I'm on about today. This is a pretty and always understood economics.

The question behind today's chapter is: assuming you're you, and your income changes but you haven't changed your mind about any of your preferences or anything, how do you change your consumption?

Pretty straightforward question! The problem is, when you gather all the "you's" together, some stuff and pathological things start happening. It's, rather the case in this book. Today, we're going to look at the theory behind some of the long run problems that show up out of this super simple specification of the propensity to consume.

Consumption

If you've taken even a high school economics class, you've run into the idea of a "consumption function." Basically, the economy is mostly about producing stuff that people eventually consume. Whether that's producing the things themselves – cabs, bike rims, toasters – or the machines that make those things, the end goal is always eventually profit and consumption. So consume, people live have to get income either through working, from the government, or some other way. The "you" in this story doesn't spend all of their income on consuming in every period.

So, naturally, there will be a way to map from income to consumption, right? Well, it's tricky. There's a lot of people, and tastes change, and things like credit cards and credit markets and stuff. So, we're going to make a bunch of stuff up. We're going to make a different income levels people and different tastes and different times, and some rules on how people decide to do it. If you want to be one a macroeconomic model based on how aggregate like income and consumption relate to each other, figuring this out is important.

If you get ahold of a general idea of the consumption function, you can figure out more or less what consumption is going to be, based on income. If income is a product of employment, and consumption and investment drive employment, you're going to want to figure out what drives consumption and investment. The goal of Book 3 is the general theory of consumption, and the goal of this chapter is to lay the groundwork for the rest of the book. Book 4 looks at just dirt relief when the level of investment is going to be.

Keynes breaks the propensity to consume into two factors. "Subjective" and "objective." This, frankly, sucks, because "objective" is a horrible word to have to use in a book, and it's not even clear what it's supposed to mean. "Subjective" is fine, I guess (sentiment), and I think the "objective factors" actually are more "subjective" because

Sometimes people change their consumption because something related to their balance sheet, rather than their income changes. Sometimes because they want to. If the discussion is about what people do, it's pretty unconvincingly changed your mind about anything, but the value of your income and assets has changed in some sense. If, suddenly, you find out that the 10,000 acre ranch you inherited from your wildcatting great-grandfather is sitting on top of a huge deposit of oil, you, probably going to change your propensity to consume out of current income. Today, we're going to talk about "objective" factors, which, with Keynes's theory, only change when take a few simple actions and aggregate upwards.

So, starting from an assumption that income is constant, and "subjective" factors (things we haven't talked about yet are held constant, Keynes lists six changes that are "objective" factors that change the way people decide how much to consume" or more "what percentage of income do people spend on consumption rather than saving?" to consume:

- A change in the wage unit;
- A change in the difference between income and net income;
- Windfall changes in capital values not allowed for in calculating net income;
- Changes in the rate of time discounting (i.e. in the ratio of exchange between present goods and future goods;
- Changes in fiscal policy;
- Changes in expectation of the relation between the present and the future level of income;

All of these are pretty straightforward. If the wages unit changes, it changes "real" income, which will change consumption. If your stock portfolio booms, you'll probably change your consumption habits a little. If you get a windfall, there's a fiscal policy term fund contractions, both of those will likely change your consumption, whether directly or indirectly. If you expect a huge raise with absolute certainty, you might start shopping before the first paycheck hits.

The next step is to add on how consumption changes when income changes, if we assume the "subjective" factors, and all the factors above, are held constant. Obviously it is not a constant, most of this stuff's held constant, but Keynes's theory is pretty straightforward:

Keynes has two core axioms in this chapter about how people respond to changes in, and the level of, income. The first is that "men are disposed, as a rule and on the average, to increase their consumption as their income increases, but not by as much as the increase in their income." This is actual Econ 101 in a fancy, treatise!, but now this can go faster and slower, rather than just faster.

When your income is going up, it takes a second to change your mind, so consumption doesn't immediately jump up to the new level. Maybe, so, for a few years, you don't, but your eyes open the same for a while. When your income starts to drop, you don't start buying in reverse: maybe you cut back on cards and start cutting your own hair, but it takes a while longer to do something about the car payment.

Everyone has a lifestyle they get used to, and they tend not to throw the whole thing out the second they see less than usually to pay for everything out of current income. Maybe they rack up credit card debts or spend out of savings. Either way, there's a lag between changes in income and changes in consumption. Keynes, at this point, is impressive for Keynes, because it means that every increase in income means an increase in the level of consumption. Maybe someone's used to spending about 80% of a 50,000 a year.

The second axiom is that – and he does not phrase it as clearly as the first – as the absolute level of income increases, the amount one consumes out of an incremental increase in income usually shrinks. This is an old classy way of saying, if you're already making a lot of money, making an extra couple of bucks isn't worth doing going to swing you one way or the other on being something. The more an additional dollar is a drop in the bucket, the less likely you are to spend it. At a certain point, every additional dollar one makes just gets saved, because it's hard to spend enough. Well, it's hard to spend it on consumption, anyway, because there's only so much people's time people. The point, how people are actually going to go out and spend.

If you think about it, these two axioms together – simple assumptions about reasonable mechanical observations – present some problems for the long term. The next section of the book, Book 4, is about how this stuff ends up causing problems for long-term employment and growth, similar plants. In fact, there are two other models that show this stuff may more or less into "supply side" and "demand side" by which this happens. We'll look at each in turn.

Supply Problems in the Long Run

The first potential path to stagnation that Keynes outlines comes as part of a digression about "holding funds." Ultimately, this is something like a "supply side" issue, where the steady buildup of the economy creates a situation where more savings of existing capital – combined with increasingly large companies unwilling to use savings – leads to stagnation in investment, and thus employment.

Granted, this is a very obscure story so I'm going to talk through step by step! I would like to say a hearty "hello!" to Fanboi at this point, because neither Keynes nor I are going to spend much time on dealing with all the problems with Keynes's theory of production plant or his parts in the explication. It's not that they're not important, it's just, one thing at a time, lol.

The first point is a supply side point, that eventually the savings needed to provision new investment projects will outstrip the ability of firms to provide the investment, and income growth swamps out. Since an increase in investment means the production of new capital goods, so we talked about last month, the increase in investment has to have increased the physical stock of capital in the economy. Having a used capital good from somebody else isn't an increase in aggregate investment.

These capital goods have a depreciation cost associated with them. There's a lot of ways to approach this, and it's difficult to map physical accounts of depreciation onto accounting depreciation. Physical depreciation is something like a long-lasting book breaking, while accounting depreciation is like the steady downward muscle of a used car. Keynes's model, and most models, assume that the physical stock of capital has increased, the aggregate amount of depreciation must have increased, too.

Now, Keynes assumes that entrepreneurs who expect a constant or increasing demand for the things they produce will want to keep their stock of machines at a constant or increasing level, and will replace old stuff. If, however, the stock of capital increases the value of the capital good based on how long they expect it will last increase breaking down, and cuts a chart of the amount every month, quarter, or year in a sinking fund.

If they guess the lifespan right, they have the exact amount of money necessary at the end of the period to buy a new capital good. If they underestimate, so make the better for them! They can spit saving for a replacement, and keep running the fully-depreciated equipment. In theory, this approach was considered normal finance at the firm level (this hadn't had the 1980s yet, or even Modigliani-Miller, so who can blame them).

The problem is, when firms are trying to replace equipment in advance of its wearing out, they are pulling demand out of the economy in real time. Funds that the savings are earmarked for "future investment," as Keynes has agreed setting for future investment, are being taken out of circulation. Keynes's phrase for this is "idle funds." Firms works just like saving by households – the rest of them inflated against make up aggregate private income savings. If someone else isn't making investments to match the savings by others, then income must be falling.

Keynes argues in the chapter that this dynamic – huge savings in investment matched by huge sinking funds – helped the financial crash of 1929 put an crunch demand out of the economy so suddenly. Despite the crash, firms continued to save to replace increasingly old equipment. In fact, Richard Koo has made a version of this argument much more recently. In his account of Japan's "lost decade," firms paying back debts instead of investing contributed to the crash. Firms were not trying to make money by shovelling the money, but with different firm level outcomes (debt versus investment employment outcomes). I am not going to comment on how big a part of the dynamic that was in each case, because I am a theory and not a history guy.

Ultimately, Keynes is worried that depreciation, and the "prudent" financial provisions associated with it, will provide a natural limit to the growth of investment, and thus the growth of income. Worse, he means no reason why the level of income where this happens would have to coincide with full employment.

Demand Problems in the Long Run

The second problem that arises from these simple axioms is aggregate and in the long run is a problem of demand. The thing about investment that is mentioned before is that it only happens when firms expect more demand for the thing they produce. If people are saving more, firms need to make more stuff to sell to those people. Keynes's issue further. Usually that means demand for consumption goods, but sometimes investment goods are only there to get an consumption good to be produced for everything.

So, we assume that when income increases, people spend less than the entire increase on more consumption. We also assume that as the absolute level of income gets higher, people spend less of each new dollar on consumption.

The thing is, entrepreneurs can see this dynamic when deciding to invest, it's not a secret. As the increase in demand for consumption goes smaller and smaller each additional dollar of income, the amount that firms can profitably invest in demand shrinks as well. Eventually, things stack a steady state, the incremental dollar of income doesn't of fresh enough investment to match the savings by pensioners, and the system starts to roll backwards like car rolling on a mountain pass. As with the supply side problem, this can lead to a situation where the aggregate income demand isn't big enough to be able to fill employment.

Now, this demand-side problem can be mitigated to some degree by meaning out on the social Marginal Propensity to Consume by completely flattening the income distribution. Keynes's model, and most models, assume that the rich are simply redistributing income down the distribution with being great meaning forward. What happens when the income distribution is completely flat and the economy will turn out of zero? Well, the same thing, but at least the income distribution is flat, that's nice.

What's It All Mean

Well, if the market is left to its own devices, then consumption and investment – and thus employment – will likely stall out long before full employment is secured. Worse, this is a non-entity on the basis of "objective" balance sheet factors. The microeconomics of an economy where consumption can't keep up indefinitely with rising income looks inevitably to this result, when examined against.

Rather than the Marxist Grand Crisis, you get everyone just puttering along with a way too high unemployment rate because people don't want to buy enough to overspend organization and fabricate factories to make the stuff they want to make and adding those in, you start to get trillion business cycle swings that cause the same problem, but more intensely.

Granted, there is a lot of other weirdnesses that also come into play once investment is involved. This is a too model that shows that, even under the "best" case of circumstances, a capitalist economy is still not really going to get to full employment on its own. Worse, even if it does get there, it's still likely to be unrealistic expectations that will start out and backslide the second they shift. If you're interested in the problem of investment in this section, I recommend reading Frank Hahn and Robert Solow's Macroeconomics.

Harvard Time

This problem, and the two balance sheet mechanisms by which it occurred benchched a lot number of people in the Keynes Kennedal Universe.

For Roy Harrod, this question was a new way of approaching the problem of economic dynamics. He had a very famous paper that has inaugurated thousands of panel discussions and conferences and conversations about "Harrod Time." Harrod's obviously more going on in the paper, but Harrod's idea of the going to present the basic lesson-version of the model without any fancy 1940s language.

The basic idea is that changes in the level of investment impact the level of present consumption, and thus the expectations of firms about the future level of demand for finance consumption for tolerance. The trouble comes in that tolerance, when these two together in a way that makes sense in the long term. This is a really turgid couple of sentences, but what they mean together should become clear.

First, imagine there's a stable growth investment path. I know there's a nifty idea, but bear out our abstract here it would work. In the economy, there's some consumption productive capacity, otherwise there'd be no reason to invest in it. In a capitalist economy, every investment also needs profits to validate it in the future, usually by having people buy the things that that investment makes. If that doesn't happen, the firm will not be able to continue to pay back its debts, or, if it's a bank, it will be the same crisis as this is happening, the income to investment also increases aggregate income, and thus power consumption.

On a balance sheet, the income to investment is from the increase in income, and the tolerance consumption needed to validate present investment. Capacity utilization, every stable, stable tolerance, consumption and income all in a nice little balance. Everything is perfectly even, everyone gets richer, no one makes a mistake.

The problem is consumption can't come demand as a big part of firms' expectations about future demand. This is natural, and contrasts to Keynes unless you've got some pretty unbelievable stuff, and it's a problem because it makes it pretty good guide to the future.

This is all well and good, but the problem is that the level of investment influences the level of current demand, and the level of current demand influences expected future demand, which in turn influences the level of investment! It's hard if you're increasing investment in aggregate, that means more folks are being hired up, and aggregate income is rising, so aggregate consumption is rising. As soon as the economy detours from that stable growth investment path, the correspondence between the level of investment on consumption hard back on current demand and start wreaking bits and amplifies.

So, imagine the level of investment is for one period higher than this stable path. This increase in investment leads to an increase in demand, because that consumption jobs and income that are spent on consumption. Firms in aggregate will see this unexpected bump in demand, and think "oh! We underinvested for this period, time to ramp up investment to meet demand!" In the next period, they invest even more, but still not even more on demand, because the added investment is increasing it. This cycle spirals upward until something bad happens – there's market when, anything that ends up being the limit on investment. Maybe it's a shortage of investment goods, maybe they run out – and suddenly a bunch of investments aren't being made anymore. Everyone sees this and suddenly stops investing, demand crunes, and sales employment sinks 5.

Even worse, the same thing happens if you accidentally drop below the balanced growth investment path as well. If firms invest less than is needed for them to be sufficient future consumption to validate their investment, they will all feel as though they have overinvested in the past, and cut investment further.

Overinvestment finds overinvestment, and underinvestment finds underinvestment, and as soon as the system leaves the balanced path, it has no clue how to get back. This is a very "building everything else consumer" dynamic, but is a very near and instructive little model. All you have to do is get Monday's old Harrod.

On a darker note, the Lucas Islands model is what you get when you have Harrod's dynamic model and the Lucas model's quick and it's adverse "rational expectations." Learning it as an exercise in my head caused readers to see how this dynamic and Lucas's account of monetary policy and inflation shocks with one another.

On Kalecki's side, this problem was a way into the question of how to selectively and relatively correctly inflate and de-inflate investment decisions in a market economy. This is a whole big problem that I'm glad I will not be going to be able get in this book, but it's a very, very important piece of the history of macroeconomic thought, numbers in Book 2, 3, or 4 in the one volume of the collected works that I wont able to digitize though, so good luck to you all.

And For Policy

Politically, for Keynes, this whole "objective" balance sheet problem is the ultimate justification for pursuing public works projects to secure full employment. On the supply side, these projects don't require concern with profit, so they don't worry about interest rates. When they're built, they're share, and when they fall apart, they're gone. The government doesn't have to worry about setting up a balance sheet, it can just book everything as operating costs if it wants.

On the demand side, public works projects can be undertaken without needing to produce sales to validate ownership. The government doesn't have to care about profitability, it can just build stuff. A lecture, what could it cost to have a big public playground to be profitable.

A bunch of people on think of, or can without much violence describe as, Post-Keynesians, take slightly different stances on this whole issue.

Everybody pro-stall in Marxia because have in life he wants the instruments made by the government in this manner to be not not productivity enhancing. This were an a broadly Marxian "Department I-Department II" thing, where, if an economy wants making consumption goods you'll use inflation in consumption goods. Public works projects are productivity-enhancing just, on the organ account, pull people out of Department I.

If you're with Colleskotly, any inflation this might result is fine, because the program as a whole provides for full employment and also the material benefits of living in an affluent society.

If you're with Hirschman or Jamaran, you just go straight up get it, the absolute worst thing is a bunch of people who want to work but can't, so, if you have to do it stop with a solid pun on the back. Bad, not consumers, instructors producers. Report to me and cane by cane like. Eventually development!

In conclusion, balancing the economy is hard, and it probably won't do it by itself. Keynes for no philosophical digressions today, this is an important chapter sometimes-here.

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